

June 3, 2026

Vanessa A. Countryman, Secretary
Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

Re: File No. S7-2026-15; Release Nos. 33-11414; 34-105368; 39-2563; IC-36140 — Semiannual Reporting (Proposed Rule)

Dear Secretary Countryman:

I write to oppose the Commission's proposed amendments that would allow eligible Exchange Act reporting companies to file one semiannual report on new Form 10-S in lieu of three quarterly reports on Form 10-Q, while continuing to file an annual report on Form 10-K. I am the Roy Bernard Kester and T.W. Byrnes Professor of Accounting and Auditing at Columbia Business School, where I have spent my career studying financial reporting, capital market efficiency, and corporate governance. I have published extensively on the economics of disclosure, audit quality, and board effectiveness, and I have provided testimony and comment to regulators on financial reporting policy on prior occasions.

I have also written three detailed analyses of this specific proposal for Forbes, which form the empirical and analytical spine of this comment. My opposition is not reflexive defense of the regulatory status quo. I am not unsympathetic to the goal of streamlining the 10-Q's contents. But the proposed mechanism — halving the frequency of mandatory interim reporting — is the wrong instrument, and the proposing release's economic analysis is materially incomplete. The Commission should withdraw the proposal and, if it wishes to address legitimate concerns about reporting burden, pursue the correct reform: streamline what the 10-Q requires, not how often it arrives.

I. THE ECONOMIC ANALYSIS IS STRUCTURALLY INCOMPLETE

The proposing release's economic analysis suffers from a foundational asymmetry: it counts the issuer's savings in concrete figures while leaving the costs imposed on the market's downstream users either unquantified or unacknowledged. This is not a minor gap. It is the analytical defect that undermines the proposal's entire cost-benefit framework.

The Commission's release acknowledges, candidly, that it cannot quantify the harm to investors and markets from reduced disclosure frequency — even as the issuer-side savings are given specific dollar estimates. This asymmetry does not justify proceeding. An economic analysis does not get to

wave away a cost merely because it is dispersed, second-order, hard to quantify, or borne outside the issuer's accounting department. The affected users fall into three broad categories, each of which the release treats glancingly or omits entirely.

A. Risk-Pricing Infrastructure

Credit rating agencies monitor leverage, coverage, and liquidity on a rolling basis using quarterly fundamentals. Move the public numbers to a six-month cycle and, for half of every year, a credit rating becomes a verdict on stale information. The likely result is not smoother credit markets but lumpier ones: downgrades that cluster and arrive as surprises rather than the gradual re-pricings an orderly market depends on.

The prior Regulation FD carve-out for disclosures to credit rating agencies was removed by Section 939B of the Dodd-Frank Act and the SEC's 2010 conforming rulemaking. As a practical matter, issuers that provide material nonpublic financial information to rating agencies between public reports may need to rely on confidentiality arrangements or otherwise ensure compliance with Regulation FD. Either way, the proposal risks moving fresh fundamentals from the public information set into private channels.

Derivatives markets are similarly affected. Earnings dates shape volatility surfaces — the well-documented “earnings bump” in implied volatility is an artifact of the quarterly calendar. Credit-linked and counterparty-risk models lean on current balance-sheet and cash-flow information. Stretch the public-information cycle to six months and the inputs to those models grow stale for half the year, concentrating volatility at the two remaining announcement dates and making risk harder to price, not easier.

For systematic and quantitative strategies, the proposal is more disruptive still. Every factor signal that defines quantitative equity investing — earnings surprise, the accrual anomaly, profitability, changes in leverage — is constructed from and refreshed by quarterly filings. Cut the cadence to semiannual and the historical record that back-tests are calibrated against describes an environment the rule has abolished. This is not a transition cost that washes out. It is a structural break.

B. Market Quality and Liquidity

Market makers' bid-ask spreads are, in substantial part, compensation for the risk of trading against more-informed counterparties — the adverse-selection logic of Glosten and Milgrom (1985). The longer the public-information gap, the wider the spread must be to compensate for that risk. A megacap with forty analysts and a wall of alternative data can survive a six-month public silence; the market will fill it through private channels. A small or newly public company, however, often discloses little beyond what the 10-Q forces out — for these issuers the quarterly filing is frequently the only systematic financial signal the market receives. Making it optional concentrates the harm precisely where public monitoring is most consequential and least replaceable.

The release acknowledges this concern but does not resolve it. The proposal's “optional” character does not cure the problem; it routes the harm toward the companies whose investors can least afford it. The firms most likely to elect semiannual reporting are not a random sample: they may include issuers with volatile results, weaker internal controls, greater competitive sensitivity, or negative news to manage. If so, the election itself becomes a signal, and the likely equilibrium is a two-tier market in which higher-quality issuers keep reporting quarterly to preserve credibility while weaker and more opaque ones go dark — concentrating reduced disclosure precisely where public monitoring matters most.

The proposal also sorts investors, not just issuers. The large asset managers and hedge funds that have built alternative-data programs — satellite imagery, credit-card panels, customs records — can substitute private signals for the public quarterly filing at a cost retail and smaller institutional investors cannot match. Stretch the standardized public cadence to six months and that informational gap widens. A reform marketed as reducing issuer burden would, in effect, tilt the playing field toward the investors who need the help least.

C. Users the Release Underemphasizes

Several categories of affected users receive no discussion in the proposing release at all. Each is worth putting on the record.

Debt covenants: The overwhelming majority of credit agreements require a covenant-compliance certificate every quarter, alongside quarterly financial statements. A leveraged public company that elects semiannual SEC reporting does not get to stop producing quarterly numbers — its lenders still demand them. So, a large share of the advertised savings is illusory: the accounting work still happens, but the public equity investors lose the window into it that their private creditors retain. A reform sold as reducing information asymmetry would, for every leveraged issuer, widen the gap between what private creditors know and what public shareholders can observe.

Index providers and passive funds: The S&P 500's financial-viability screen depends on quarterly data: a company generally must have positive GAAP net income from continuing operations for its most recent quarter and for the sum of its most recent four consecutive quarters. As of year-end 2024, approximately \$20 trillion was indexed or benchmarked to the S&P 500 alone. The release does not meaningfully address how such quarterly dependent index infrastructure would operate if quarterly GAAP figures become optional.

Business development companies: The release counts 133 BDCs currently filing on Form 10-Q and leaves open the possibility that they could elect Form 10-S. What a BDC reports on a 10-Q is not operating earnings but the fair value of an illiquid private-credit and private-equity portfolio marked under judgmental Level 3 inputs. The quarterly mark is the discipline that prevents managers from sitting on unrealized losses. Stretch the cycle to six months and a manager reluctant to recognize a write down gets twice the runway to defer it. The words “fair value” appear once in the release's 279 pages; “Level 3” not at all.

Audit firms: Each quarterly review is an occasion on which an auditor catches an error, challenges a judgment, or detects a going-concern problem forming. Cut interim reviews from three to one and those problems do not vanish — they surface later, bunched at year-end, with larger restatement risk. Less frequent independent review is not self-evidently a feature.

Short sellers and forensic analysts: Quarterly filings are often where deterioration, aggressive accounting, and outright fraud are first detected. Reduce the mandatory filing occasions and you extend the window in which problems can compound before outside observers can test management's narrative against standardized financial statements.

II. THE EVIDENCE DOES NOT SUPPORT THE PROPOSAL

The proposal's implicit premise — that quarterly reporting causes corporate short-termism and that reducing its frequency will encourage long-term investment — has been tested. The evidence does not support it.

The natural experiment is the United Kingdom. The UK mandated quarterly reporting in 2007, then eliminated the requirement in 2014, creating precisely the variation needed to identify the causal effect. My colleagues Robert Pozen and Suresh Nallareddy and I studied this experiment in depth (Nallareddy, Pozen, and Rajgopal, 2017, Columbia Business School Research Paper No. 17-33; also published by the CFA Institute Research Foundation). Our findings on the short-termism hypothesis are clear: when UK companies were required to report quarterly in 2007, we found no statistically significant reduction in capital expenditures, R&D spending, or property, plant, and equipment investment. When the requirement was lifted in 2014, we found no statistically significant increase in investment among companies that switched to semiannual reporting, compared with those that continued quarterly. The frequency of financial reports had no material impact on levels of corporate investment in either direction.

The proposal's logic fails on its own terms. R&D programs, capital expenditure decisions, and strategic acquisitions have multi-year horizons. They do not operate on three-month cycles, and they will not operate on six-month cycles. A CEO inclined to sacrifice a research program to make quarterly earnings will make the same sacrifice to make semiannual earnings. Halving the reporting frequency does not cure managerial myopia; it gives it a longer runway.

The UK evidence on market quality is equally unfavorable. When quarterly reporting became mandatory in 2007, we documented a substantial increase in companies providing quantitative guidance and an increase in analyst following — signals that markets demanded and rewarded the more frequent information. When the requirement lapsed in 2014, the immediate revealed preference of UK companies was to keep reporting quarterly: fewer than 10% stopped issuing quarterly reports in the first year. Over the following decade, however, most UK companies migrated to semiannual reporting — tracking a period during which the London Stock Exchange struggled to attract new listings and retain existing ones. Goldman Sachs European equity strategists examining the aftermath found no improvement in valuations, no better capital raising, and no healthier IPO market. The drift to semiannual reporting did not produce the benefits its proponents promised.

The IPO rationale deserves particular scrutiny. The proposal suggests that reduced reporting burden will revitalize the U.S. IPO market. This argument has the information economics exactly backward. The defining feature of an IPO is extreme information asymmetry between management and new investors — the founding team knows the company's trajectory; the public market is seeing it for the first time. Quarterly reporting is one of the few mechanisms that allows the public to close that gap in real time, as management's IPO narrative is tested against actual results. Moving newly public companies to semiannual reporting amplifies the asymmetry: an investor who bought shares in January would wait until August to see any systematic financial accounting of whether management's claims were accurate. This is not a recipe for more IPOs. It is a recipe for skeptical investors demanding a higher risk premium to buy newly public shares — which, if anything, makes the IPO market worse.

III. THE COST BEING RELIEVED IS IMMATERIAL RELATIVE TO THE FRANCHISE IT PUTS AT RISK

Even setting aside the market costs, the economic case for the proposal fails the most basic proportionality test. The compliance costs the proposal aims to relieve are a rounding error against the capital-market franchise that disclosure makes possible.

Consider the order of magnitude. In a separate analysis published in *Forbes*, I estimated ExxonMobil's all-in direct compliance cost for its annual 10-K at approximately \$15 million — a generous estimate that triples the company's own figure to account for legal, executive, and board

time. Against \$332 billion in 2025 revenues and \$28.8 billion in net income, that is 0.005% of the top line. The value ExxonMobil derives from being a public company — the private-company illiquidity discount it avoids, estimated at 20–25% of its \$648 billion market cap, plus the S&P 500 benchmark inclusion subsidy documented in the academic literature — runs into the hundreds of billions. The return on 10-K compliance investment is, conservatively, between 19,000 and 26,000 to one.

These figures are illustrative, not structural estimates — they blend a recurring disclosure cost with one-time listing and index effects, and reasonable people will quarrel with the calibration. But the policy question survives the quarrel intact: should the market accept a degradation of the public-information commons to produce issuer savings that are immaterial relative to what being public is worth? The release counts the savings. It never weighs them against the franchise they put at risk.

The Nasdaq survey data cited in the release — which pegs the cost of quarterly reporting at roughly \$334,698 per quarter for the average respondent, or about \$426,700 after inflation adjustment to December 2025 — deserves a proportionality check. Annualized across three 10-Qs, the implied savings are meaningful in accounting-department terms but still small relative to the issuer's public-market franchise and the potential liquidity, comparability, and cost-of-capital consequences borne by investors.

IV. THE REST OF FINANCIAL REGULATION IS GOING THE OTHER WAY

The proposal's direction of travel is the opposite of every other segment of financial regulation that takes information and systemic risk seriously.

Nonbank swap dealers — institutions at the center of the derivatives market the proposal affects — file unaudited financial reports monthly with the CFTC and the National Futures Association under CFTC Regulation 23.105(d), with an audited annual report on top. Broker-dealers file monthly or quarterly FOCUS reports with FINRA under Exchange Act Rule 17a-5. Asset-based and leveraged credit facilities routinely require monthly covenant certificates. Wherever counterparty and systemic risk genuinely bite, the institutions responsible for managing it have already concluded that quarterly is not frequent enough — they want monthly.

The serious policy frontier in disclosure is timelier and more structured data, machine-readable XBRL, and potentially continuous assurance — not cutting the equity market's fundamental-data feed in half. The Commission is proposing to march public companies in the one direction the rest of the financial plumbing has already rejected.

V. THE 2019 RECORD SHOULD NOT BE IGNORED

This is not the first time the Commission has considered semiannual reporting. In December 2018 the Commission issued a Request for Comment on Earnings Releases and Quarterly Reports (File No. S7-26-18), with comments due in March 2019. The Commission ultimately took no action.

The 2019 comment record is instructive. Institutional investors, the analyst community, and investor-protection groups argued that they rely on quarterly disclosure for portfolio management, valuation modeling, and risk assessment, and that less frequent reporting would widen the information gap between management and the market. Even the preparers who wanted relief conceded that investors expect and value quarterly financial information — which is precisely why the Nasdaq survey anticipated that companies would keep releasing quarterly earnings voluntarily even if the mandate were lifted. That concession is fatal to the proposal's primary rationale: if firms keep reporting quarterly to satisfy investors, the savings evaporate; if they stop, the market-quality costs catalogued above arrive in full.

The Commission weighed this balance in 2019 and declined to act. Nothing in the intervening evidence has moved in favor of the change. What has moved is the political will to push it. The Commission should read its own record.

VI. THE CORRECT REFORM IS TO STREAMLINE THE 10-Q, NOT TO HALVE ITS FREQUENCY

Nothing in this comment is intended to suggest that the 10-Q is well-designed. It is not. The current form requires a high volume of information — including full financial statements and extensive narrative — much of which is boilerplate that assists no one. The growth in 10-K and 10-Q length since the 1990s is well-documented in academic literature, and much of it reflects managerial discretion and legal caution rather than mandatory requirements.

The right reform is to make the quarterly report shorter, more decision-relevant, and more structured — not to make it less frequent. The Commission should require less boilerplate, focus the mandatory narrative on information that is actually decision-relevant for the company's specific circumstances, allow more sector-specific guidance about materiality thresholds, and explore whether certain disclosures now required in the 10-Q could be moved to a less burdensome format. Fix what the form contains. Do not cut how often it arrives.

The quarterly clock is not the problem. It is the architecture that makes the U.S. equity market the most liquid, efficient, and investor-friendly in the world. The Commission should be very cautious about dismantling it to produce savings that the evidence suggests will, in many cases, be illusory — because the companies that elect semiannual reporting to avoid the costs will still have to produce quarterly financials for their lenders, their rating agencies, and the index providers on whose inclusion their access to capital depends.

VII. CONCLUSION

The Commission should not adopt the proposed amendments. The proposing release's economic analysis counts the issuers' savings and leaves the market's costs unmeasured. The empirical evidence from the United Kingdom — the natural experiment the proposal's proponents cite as the model — shows no reduction in short-termism, no increase in investment, and no improvement in market quality from reduced reporting frequency. The proposed savings are immaterial relative to the capital-market franchise that disclosure makes possible. The rest of financial regulation is moving toward more frequent reporting, not less. The Commission already considered and rejected this proposal in 2019 on a record that remains valid today.

If the Commission wishes to reduce the burden of quarterly reporting, the correct instrument is to streamline the contents of the 10-Q while preserving its frequency. That reform would reduce genuine costs without degrading the public-information commons that investors, analysts, creditors, index providers, derivatives desks, auditors, and the Commission's own staff have built their work on.

I respectfully request that the Commission withdraw the proposed rule.

Respectfully submitted,



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Attachments: (1) "[The SEC's Semi-Annual Reporting Proposal: A Solution in Search of a Problem,](#)" Forbes; (2) "[ExxonMobil's 10-K Compliance Cost Delivers a 19,000-to-1 Return for Shareholders,](#)" Forbes; (3) "[Who Else Uses the 10-Q? The SEC's Semiannual Reporting Proposal Doesn't Ask,](#)" Forbes.